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AI Data Governance for Nonprofits

Where is your data going right now?

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Most nonprofit leaders, if asked where their organization's data goes, could give a partial answer. The EHR, the spreadsheet, the shared drive, maybe a cloud backup. What they are less likely to know is where data goes when staff use the cloud tools they have adopted informally over the past few years — and even less likely to know what happens to it when those tools now have AI features built in.

Data governance is not a compliance exercise reserved for large institutions. It is the basic practice of knowing what data your organization has, where it lives, who can access it, and where it travels when staff do their work. AI makes that practice more urgent because the number of places data can travel has grown significantly, often without anyone making a deliberate decision about it.

*You cannot govern what you do not know exists.
The first step in data governance is finding out what
is actually happening, not designing a policy for
what you wish were happening.*

The inventory question

Before any governance framework can be useful, the organization needs a basic picture of what data it holds and what tools touch it. This does not require an IT audit or a consultant. It requires someone to walk through the work staff actually do and map it honestly.

A practical data inventory for a small to mid-size nonprofit covers four questions for each major data type:

1

What data do we have?

Client records, service logs, outcome data, donor information, financial records, staff records, grant documentation. List the categories, even roughly.

2

Where does it live?

Which system, which file, which drive. Include systems that individual staff manage themselves if those systems hold organizational data.

3

Who has access to it?

Not just in theory, but in practice. If everyone's passwords are in a shared spreadsheet and three former staff members still have accounts, that is part of the picture.

4

Which AI features or tools touch it?

This is the question most organizations cannot currently answer. It requires asking staff what tools they use, not just what tools were officially adopted.

THE AI FEATURES ALREADY IN YOUR TOOLS

Microsoft 365, Google Workspace, Zoom, Slack, and most modern productivity platforms now include AI features that are often enabled by default. Copilot in Word, Gemini in Google Docs, AI meeting summaries in Zoom — these features may already be processing organizational data whether or not your organization made a deliberate decision to use AI. Check the settings in your existing tools before assuming AI is not already present.

Governance basics: who owns the decisions

Data governance requires that someone is responsible for decisions about data. In a large organization, this might be a dedicated role. In a small nonprofit, it is usually the ED, the operations lead, or whoever manages IT — but it needs to be someone, and that person needs to know it is their job.

The decisions that need an owner are not complicated. They include: which tools are approved for use with organizational data; what data can go into which tools; what to do when a staff member wants to use a new tool; and who gets notified if something goes wrong. None of these require extensive expertise. They require someone to make the call and communicate it.

The difference between a policy and a practice

Many nonprofits have data policies they wrote for a funder years ago and have not looked at since. A policy that exists on paper but does not reflect how staff actually work is not governance. It is a document.

Effective data governance in a small organization looks less like a policy framework and more like a shared understanding: staff know what the

expectations are, they know who to ask when something is unclear, and there is a process — even a simple one — for introducing new tools rather than adopting them ad hoc.

A MINIMAL GOVERNANCE STARTING POINT

A list of approved tools and what data each can be used with.

A named person who fields questions and approves new tools.

A one-paragraph summary of what staff should not put into external AI tools.

A process for what to do if something goes wrong (who to tell, what to document).

A commitment to revisit this at least once a year as the tool landscape evolves.

AI-specific governance considerations

AI tools introduce a few governance questions that older technology did not raise in the same way.

The first is the question of what happens to your data after you use a tool. With traditional software, your data stays where you put it. With cloud AI tools, inputs may be retained, processed, or used in ways that vary by vendor and plan. Knowing the answer for each tool your organization uses is a governance responsibility.

The second is the question of output ownership and accuracy. When AI generates a report, a grant narrative, or a program description, that output goes out under your organization's name. Your organization is responsible for its accuracy. Governance means having a clear expectation that AI-generated content is reviewed before it represents the organization externally.

The third is the question of auditability. If a funder asks how a particular report was produced, or if a compliance question arises about a client record that was processed with AI assistance, can you reconstruct what happened? Keeping basic records of which tools were used for which purposes is a lightweight practice that matters more as AI use grows.

Starting the conversation

If your organization does not currently have a data governance practice, the place to start is not a policy document. It is a conversation with staff about what tools they are actually using. That conversation, done without blame and with genuine curiosity, is usually the most informative thing a leader can do. What you find out will tell you exactly where to focus first.

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